

Unemployment

Unemployment

Unemployment occurs when people who are willing and able to work cannot find a job. This does not mean that all people who are not working are unemployed, for example, children are too young to work and some adults are retired. Also, a number of adults of working age are not seeking jobs, including people who are at university, those who have retired early, homemakers and those not well enough to work. People who are not working and trying to find employment are said to be economically inactive. They are not part of the labour force.

The unemployed are, in contrast, part of the labour force. They are an economic resource that is not currently being used. Anyone in the labour force is said to be economically active.

The labour force

The labour force in an economy is defined as the total number of workers who are available for work. It therefore refers to all people who can contribute to the production of goods and services. As well as those actually in employment, it also includes those who are unemployed and who are seeking employment. The size of a country's labour force depends upon a wide range of demographic, economic social and cultural factors, such as:

- the school leaving age
- the number of people who remain in full-time education above the school leaving age
- the retirement age
- the proportion of women who join the labour force.

A country with a higher number of people of working age is likely to have a larger labour force than one with a smaller number of people of working age. This, however, is not always the case. This is because the size of the labour force is also influenced by the labour force participation rate. The labour force participation rate refers to the percentage of the total population of working age who are actually classified as being part of the labour force. For most economies, the rate is usually between 50% and 70%. There are a number of reasons why the labour force participation rate may be relatively low in some countries. These include a higher participation rate in higher education and a relatively large proportion of workers deciding to take early retirement. There are also some countries where the contribution of women in the labour force is constrained by social and cultural factors.

Level of unemployment and rate of unemployment

The level of unemployment refers to the total number of workers who are unemployed. In contrast, the unemployment rate is the number of unemployed people as a percentage of

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the labour force. For example, using the formula for the unemployment rate, in an economy with a labour force of 50 million workers, 4.3 million of whom are unemployed, the rate of unemployment is 8.6%:

$$\text{Unemployment rate} = \frac{\text{Number of people unemployed}}{\text{Number of people in the labour force}} \times 100$$

The level and rate of unemployment may move in the same direction. This, however, is not always the case. If the labour force increases by a greater percentage than the level of unemployment, the unemployment rate will fall. For instance, if the labour force is initially 40 million with 2 million unemployed, the unemployment rate would be 5%. If the labour force rises to 44 million and the level of unemployment increases to 2.1 million, the unemployment rate would fall to 4.8%.

As well as measuring the unemployment rate, governments also measure the employment rate and the labour force participation rate.

The employment rate and the unemployment rate do not add up to 100%. This is because the employment rate is the proportion of the working age population who are in work and not the proportion of the labour force in work.

The stock and flow of unemployment

A stock is measured at a particular time period whereas a flow is measured over time. The level of unemployment and the unemployment rate show unemployment at a particular time period. They are a snapshot of unemployment at a certain point in time. They do not show the exact situation as people move into and out of unemployment. The number of people unemployed may stay the same over a period of months. This does not necessarily mean that it is the same people, because some workers will have become unemployed over the time period while others will have found jobs or will have left the labour force. One reason why some people leave the labour force is because they become discouraged workers, giving up on the chances of finding a job.

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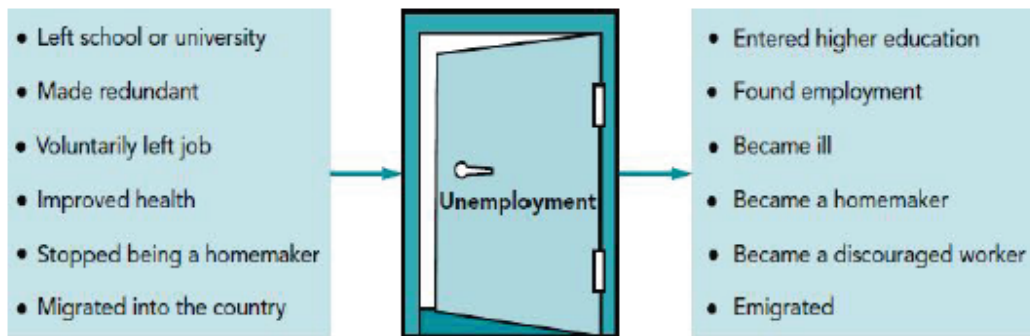


Figure 19.3: The main reasons why people may enter or leave unemployment

The main reasons why people may enter and why they may leave the state of unemployment are shown in Figure 19.3.

Measures of unemployment

Governments use two main methods of measuring unemployment:

- The claimant count measure counts as unemployed those who register as unemployed in order to claim unemployment benefits.
- The labour force survey measure involves conducting a survey asking people if they are employed, unemployed or economically inactive.

Claimant count measure

The claimant count measure is relatively cheap and quick to calculate as it is based on information that the government collects as it pays out benefits. However, the figure obtained may not be entirely accurate. It may overstate or understate the true figure. It may include some people who are not really unemployed and may omit some people who are genuinely unemployed. Some of those receiving unemployment benefits may not be actively seeking employment and some may be working and claiming benefits illegally. On the other hand, there may be a number of groups who are actively seeking employment but who do not appear in the official figures. These groups may include those who are too young or too old to claim unemployment benefits, those who choose not to claim benefits they are entitled to, and those who are full-time students looking for work and those whose non-employment income is too high.

Labour force survey measure

The labour force survey measure is more widely used than the claimant count measure. The measure involves conducting a survey, usually using the International Labour Organization (ILO) definition of unemployment. The definition includes as unemployed all people of

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working age who, in a specified period, are without work, but who are available for work in the next two weeks and who are seeking paid employment.

The labour force measure picks up some of the groups not included in the claimant count. It also has the advantage that it is based on internationally agreed concepts and definitions, so makes international comparisons easier. More information is found on, for example, the qualifications job seekers have. However, the data are more expensive and time-consuming to collect than the claimant count measure. Also, as the data are based on a sample survey, they are subject to sampling error and to the practical problems of data collection

The causes of unemployment

Unemployment can be divided into three main types: frictional, structural and cyclical, as shown in Figure 19.6. Each of these types has different causes.

Frictional unemployment

Frictional unemployment is unemployment that arises when workers are between jobs. One form of frictional unemployment is voluntary unemployment. This occurs when workers are not willing to accept jobs at the current wage rate and working conditions. This form of frictional unemployment may be influenced by how the level of unemployment benefits compares to low wages. If the amount workers can earn in employment is less than they can receive in benefits, some workers may decide to stay unemployed. In most countries, the amount of unemployment benefit workers receives falls after a period of time.

Another related form of frictional unemployment is search unemployment. This arises when workers do not accept the first job or jobs on offer, but spend some time looking for a better-paid job. The provision of more and better-quality information may reduce search unemployment,

There are two other forms of frictional employment.

Casual unemployment refers to workers who are out of work between periods of employment including, for example, actors, supply teachers and construction workers.

In the case of seasonal unemployment, demand for workers fluctuates according to the time of the year. During periods of the year, people working in, for example, the tourism, hospitality, building and farming industries may be out of work.

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Figure 19.6: The main types of unemployment

Structural unemployment

Structural unemployment arises due to changes in the structure of the economy. Over time, the pattern of demand and supply changes. Demand for some products decreases while demand for other products increases. Some industries expand and some industries contract. Methods of production change, often driven by advances in technology. During this time, there may be a mismatch between job vacancies and the skills, qualifications, experience and geographical location of those who have lost their jobs. If workers cannot move from one industry to another industry, due to a lack of geographical or occupational immobility, they may stay structurally unemployed for some time. Structural unemployment can take a number of forms:

- **Regional unemployment.** Declining industries may be concentrated in a particular area or areas of the country. For instance, a decrease in demand for gold could result in a decline in the South African gold mining industry and cause workers in the gold mining areas, including Witwatersrand, to lose their jobs.
- **Technological unemployment.** In this case, people are out of work due to the introduction of labor-saving techniques. For example, the development of drones and robots delivering shopping is resulting in some delivery drivers losing their jobs.
- **International unemployment** occurs when workers lose their jobs because demand switches from domestic industries to more competitive foreign industries. For instance, the number of steel workers in the UK has fallen significantly over the past 40 years as the UK steel industry has declined. In contrast, during this period, the Chinese steel industry has expanded, creating more jobs.

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Cyclical unemployment

Frictional and structural unemployment arise largely due to problems on the supply side of the economy. The third main type of unemployment, cyclical unemployment or demand-deficient unemployment, arises due to a lack of aggregate demand. Cyclical unemployment affects the whole economy, with job losses occurring across a range of industries. Figure 19.7 shows the labour market initially in equilibrium at a wage rate of W . Then as a result of a fall in aggregate demand, firms reduce output and aggregate demand for labour shifts to ADL_1 . If workers resist wage cuts, demand-deficient unemployment XQ will exist.

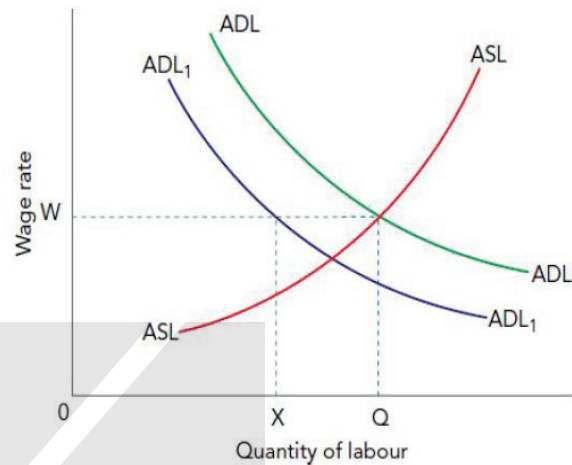


Figure 19.7: Cyclical unemployment

Even if wage rates fall, this type of unemployment may persist. This is because a cut in wages would reduce demand for goods and services as people would have less money to spend, which would cause firms to reduce both their output further and make more workers redundant (lose their jobs).

The consequences of unemployment

Unemployment has consequences for the unemployed themselves, firms and the economy as a whole.

Workers who lose their jobs are likely to experience a fall in income. Unemployed people are likely to find it more difficult to get another job the longer they have been out of work. This is because they will miss out on training, will become out of touch with advances in technology and may lose confidence. They may also experience a decline in their physical and mental well-being. For a small number of people, there is a chance that a period of frictional or structural unemployment may give them the opportunity to search for a job they may enjoy more and which may be better paid.

Firms wanting to expand may have a greater choice of potential workers. Frictional unemployment allows the economy to respond quicker to changes in demand and supply conditions, with workers moving from declining to expanding industries. Firms may also benefit from workers not requesting wage rises for fear of losing their jobs. Firms may, however, suffer from lower demand for their goods and services.

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The economy will experience an opportunity cost. Output will be below its potential level. If the unemployed were still working, more goods and services would be produced and living standards would be higher. The tax revenue received by the government will be lower than with a higher level of employment. If state benefits are paid by the government, there will be an increase in government spending on the benefits which could have been put to other purposes.

How significant is unemployment?

The effects of unemployment depend significantly on its rate, duration and type. A high rate of unemployment means that the economy is producing well inside its production possibility curve, forgoing a large quantity of output.

Unemployment is also more significant the longer the workers are unemployed. The income of the long-term unemployed will be low. They may suffer poor mental health because of the stress of being out of work.

The chances of workers gaining employment tends to fall the longer they are out of work. This is for a number of reasons. The skills of the unemployed may become outdated, they may lose confidence and some may become discouraged workers. Employers may also be reluctant to employ those who have been out of work for a relatively long time.

Frictional unemployment is considered the least serious type of unemployment. Indeed, some level of frictional unemployment is unavoidable in a changing economy. In contrast, cyclical unemployment can cause serious problems. Cyclical unemployment may be of a high rate and last a long period of time.

Governments usually consider that the harmful effects of unemployment outweigh any beneficial effects. This is why they seek to keep employment as low as possible. This does not mean zero unemployment, because a certain level of unemployment will always exist. The demand and supply of labour is always changing, with some workers having a time gap between leaving one job and taking up another job. What governments want to achieve is to avoid structural and cyclical unemployment and to keep frictional unemployment as low as possible.

Low unemployment is not always a sign of a strong economy. Some workers may be in low-paid and insecure jobs. Other workers may be experiencing underemployment. They may be in part-time jobs when they want full-time jobs or they may be in jobs that do not fully match their talents.

The reasons for a fall in a country's unemployment rate must also be closely examined. If the fall results from previously unemployed workers gaining good quality jobs, it is likely to

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be beneficial. However, this is unlikely to be the case if the reduction in the rate has been caused by the unemployed giving up on trying to find work.

Unemployment is not usually equally spread. Unemployment rates can vary between genders, age groups, ethnic background, regions and skills.

